

1 ENGROSSED SENATE
2 BILL NO. 1553

By: Kern of the Senate

3 and

4 Hasenbeck of the House
5

6 An Act relating to the state Medicaid program;
7 amending 56 O.S. 2021, Section 4002.8, as last
8 amended by Section 3, Chapter 372, O.S.L. 2025 (56
9 O.S. Supp. 2025, Section 4002.8), which relates to
10 review and appeal of adverse determinations;
11 specifying qualifications for psychologist reviewing
12 appeal; updating statutory language; and providing an
13 effective date.

14 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

15 SECTION 1. AMENDATORY 56 O.S. 2021, Section 4002.8, as
16 last amended by Section 3, Chapter 372, O.S.L. 2025 (56 O.S. Supp.
17 2025, Section 4002.8), is amended to read as follows:

18 Section 4002.8. A. A contracted entity shall utilize uniform
19 procedures established by the Oklahoma Health Care Authority under
20 subsection B of this section for the review and appeal of any
21 adverse determination by the contracted entity sought by any member
22 or provider adversely affected by such determination.

23 B. The Authority shall develop procedures for members or
24 providers to seek review by the contracted entity of any adverse
determination made by the contracted entity.

1 C. A provider shall have six (6) months from the receipt of a
2 claim denial to file an appeal.

3 D. A contracted entity shall ensure that all appeals of adverse
4 determinations made by the contracted entity are reviewed by a
5 licensed physician or, if appropriate for the requested service, a
6 licensed psychologist or mental health professional. The contracted
7 entity shall not use any automated claim review software or other
8 automated functionality for such appeals.

9 E. The physician, psychologist, or other mental health
10 professional who reviews the appeal shall:

11 1. Possess a current and valid unrestricted license in any
12 United States jurisdiction;

13 2. Be of the same or similar specialty as a physician,
14 psychologist, or other mental health professional who typically
15 manages the medical condition or disease. This requirement shall be
16 considered met:

17 a. for a physician, if:

18 (1) the physician maintains board certification for
19 the same or similar specialty as the medical
20 condition in question, or

21 (2) the physician's training and experience:

22 (a) includes treatment of the condition,

23 (b) includes treatment of complications that may
24 result from the service or procedure, and

(c) is sufficient for the physician to determine if the service or procedure is medically necessary or clinically appropriate, ~~or~~

b. for a psychologist, if:

(1) the psychologist is currently licensed in accordance with the Psychologists Licensing Act,

(2) the psychologist has training and experience in the testing for and treatment of the condition,
and

(3) the psychologist's training and experience is sufficient to determine if the service is medically necessary or clinically appropriate, or

c. for a mental health professional other than a psychologist, if the mental health professional's training and experience:

(1) includes treatment of the condition, and

(2) is sufficient for the mental health professional to determine if the service is medically necessary or clinically appropriate;

3. Not have been directly involved in making the adverse determination;

4. Not have any financial interest in the outcome of the appeal; and

1 5. Consider all known clinical aspects of the health care
2 service under review including, but not limited to, a review of any
3 medical records pertinent to the active condition that are provided
4 to the contracted entity by the member's provider, or a health care
5 facility, and any pertinent medical literature provided to the
6 contracted entity by the provider.

7 F. Upon receipt of notice from the contracted entity that the
8 adverse determination has been upheld on appeal, the member or
9 provider may request a fair hearing from the Authority. The
10 Authority shall develop procedures for fair hearings in accordance
11 with 42 C.F.R., Part 431.

12 SECTION 2. This act shall become effective November 1, 2026.

13 Passed the Senate the 25th day of March, 2026.

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Presiding Officer of the Senate

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17 Passed the House of Representatives the ____ day of _____,
18 2026.

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Presiding Officer of the House
of Representatives

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